

LUMENTUM HOLDINGS INC.

(NASDAQ: LITE)

Peak-Cycle Math at a Cyclical Peak

SELL — \$255.00 Target

Equity Research Note · Technology — Optical Components · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$255.00	\$1,085.42	-76.5%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$94.4 bn (~87 mn dil. sh x \$1,085.42)	1-year return	~+560%
Enterprise value	~\$91.8 bn	Q4 FY26 revenue	\$1.01 bn (+109% YoY)
Net cash	\$2.588 bn (June 2026)	FQ1'27 revenue guide	\$1.225 - \$1.275 bn
52-week range	~\$147.81 - \$1,091.61	Analyst consensus	Moderate Buy; avg ~\$1,073
All-time high	\$1,085.75 (Oct 2, 2026)	Next catalyst	FQ1 FY27 results (Nov)

1 Investment Thesis

Lumentum qualifies for the hypergrowth-regime valuation framework this note uses — and this note gives it full credit. The demand evidence is verifiable, not narrative: pump lasers are effectively sold out despite rapid capacity expansion, with a fourfold shipment increase guided over coming quarters; pockets of supply-chain tightness capped shipments below total market demand in the June quarter; NVIDIA has made an ~\$2 billion commitment to expand Lumentum's capacity and co-develop data-center optics; multiple long-term customer agreements underwrite the scale-across capex; and lead Tier-1 hyperscalers' custom AI cluster rollouts are driving the 800G-to-1.6T transition, with 1.6T uptake expected to intensify from fiscal Q1 through calendar 2027. So years 1–3 run at or near the demand the evidence shows: FY2027 revenue of ~\$5.8 billion, with no mechanical haircut.

But Lumentum is the classic inventory-glut cyclical — customers double-order, then digest — and the framework concentrates all skepticism in the fade. That is the whole story of this note. Forward visibility ends in calendar 2027. Then comes digestion: in the base case a full down-cycle lands in FY2029–30 (revenue –11%, then –12%) before reaccelerating to a lower peak than the current cycle; in the bear case the digestion hits early and hard — FY2029 revenue collapses 28%, book-to-bill craters, EML prices reset as dual-sourcing bites, and free-cash-flow margins fall to 14%. Terminal value is computed on through-cycle margins (25% base, 28% bull, 14% bear) — never the 34–36% peaks the cycle is printing now.

The arithmetic is unforgiving. Bear \$86 / base \$244 / bull \$447, weighted (25/50/25) to \$255 — 76.5% below the \$1,085.42 quote. Read that bull case twice: it assumes four to five years of runway, co-packaged optics shipping on schedule with a second hyperscaler win, and EML holding the 200G/300G lanes against silicon photonics — flawless execution — and it is still 59% below the price. The \$1,085 quote demands aspirational targets — a ~\$2 billion quarterly run-rate, ~\$40 of FY2028 EPS — as permanent through-cycle reality with no digestion, ever. That \$40 of FY2028 EPS is ~\$3.5 billion of net income on ~87 million shares: roughly 45% net margins, sustained forever. No optical-component company has ever done that through a cycle.

Note what the hypergrowth framework did here: it raised the near-term revenue path versus a mechanical haircut — and the fair value still lands three-quarters below the price, because the fade is the whole story and the price has no fade in it. Cross-check the street: the average analyst target (~\$1,073) sits 4.2x our fair value; even the \$1,220 high —

35x a \$35 FY2028 EPS — capitalizes a peak-cycle earnings year at a growth multiple and calls it a target. That \$35 is the top of the cycle talking. Sell into the euphoria; the digestion trade is a when, not an if.

Why the demand is real — and why the cycle always collects

- **The 1.6T transition runs through Lumentum's lasers.** Early 1.6T modules are heavily EML-based, and 1.6T requires 200G-per-lane EMLs — the component where Lumentum holds a near-monopoly. 200G EML products already exceed 25% of EML revenue; the company is on track for >50% EML unit growth by the December quarter.
- **Allocation is happening now.** Pump lasers effectively sold out; narrow-linewidth laser assemblies grew for a 10th straight quarter (+130% YoY); supply tightness capped June-quarter shipments below demand. Factories are executing against aggressive plans and still can't clear the order book.
- **Every optical cycle ends the same way.** Hyperscalers and module makers double-order in the ramp, build inventory, then stop ordering for 2–4 quarters while they digest. Lumentum's own history — including the 2023 collapse — is the template. The June quarter's 109% growth is the ramp; the digestion is the bill.
- **1.6T economics invite competition.** Higher ASPs and 200G-lane leadership are exactly what pull in dual-sourcing and silicon-photonics alternatives. Early 1.6T is EML's window; the window is the asset, and windows close.

2 Business Overview — What Lumentum Holdings Is Doing

(San Jose, California)

Lumentum makes the light that moves AI data. Two product categories: Components — EML and continuous-wave lasers, pump lasers, narrow-linewidth laser assemblies — sold to transceiver and equipment makers; and Systems — cloud optical transceivers and optical circuit switches (OCS) — sold increasingly direct to hyperscalers. Cloud and AI infrastructure now account for the majority of revenue. The June quarter (Q4 FY2026) printed \$1.01 billion of revenue (+109% YoY) and \$3.23 of non-GAAP EPS (+267%), with record cloud transceiver shipments, record 100G/200G EML shipments, and the first production 1.6T shipments. The September-quarter guide is \$1.225–\$1.275 billion of revenue at 39.5–40.5% non-GAAP operating margin — past the company's target operating model more than a quarter ahead of schedule.

Three growth vectors sit on top of the transceiver cycle. 1.6T: adoption intensifying from fiscal Q1 through calendar 2027, anchored by Tier-1 hyperscale custom AI clusters. Scale-across (OCS + high-power/pump lasers): OCS shipments doubled quarter-on-quarter with the first triple-digit OCS revenue quarter guided for September; ultra-high-power lasers targeted at ~\$50 million of quarterly revenue by end of calendar 2026, with pump shipments guided up fourfold. Co-packaged optics: the generational bet — optical scale-up inside the rack replacing copper — with first shipments targeted for late 2027. The balance sheet was recapitalized mid-run: \$2.7 billion of cash and short-term investments against \$109.5 million of net debt; the convertible overhang equitized; a \$7.2 billion one-time accounting charge — not an operating loss — cleared the decks. There is no refinancing wall. That matters for the bear case: the digestion destroys equity value, not the company.

What the company is doing now

- **Concentration cuts both ways.** A handful of Tier-1 hyperscalers drive the 1.6T transition; a single architecture decision (CPO timelines, lane-speed choices) reprices the whole franchise.
- **The convert exchange diluted holders ~7%.** \$650 million of converts exchanged for ~5 million shares at elevated prices — a reminder that the capital structure flexes against shareholders when the stock runs.
- **CPO is the bull-case engine and a 2027 story at best.** Slips or qualification failures strand the growth narrative the price already owns.
- **At 156x trailing earnings the setup punishes any guide that is merely excellent.** The stock fell ~2% on the record June quarter — expectations, not results, are the risk.

3 Financial Analysis

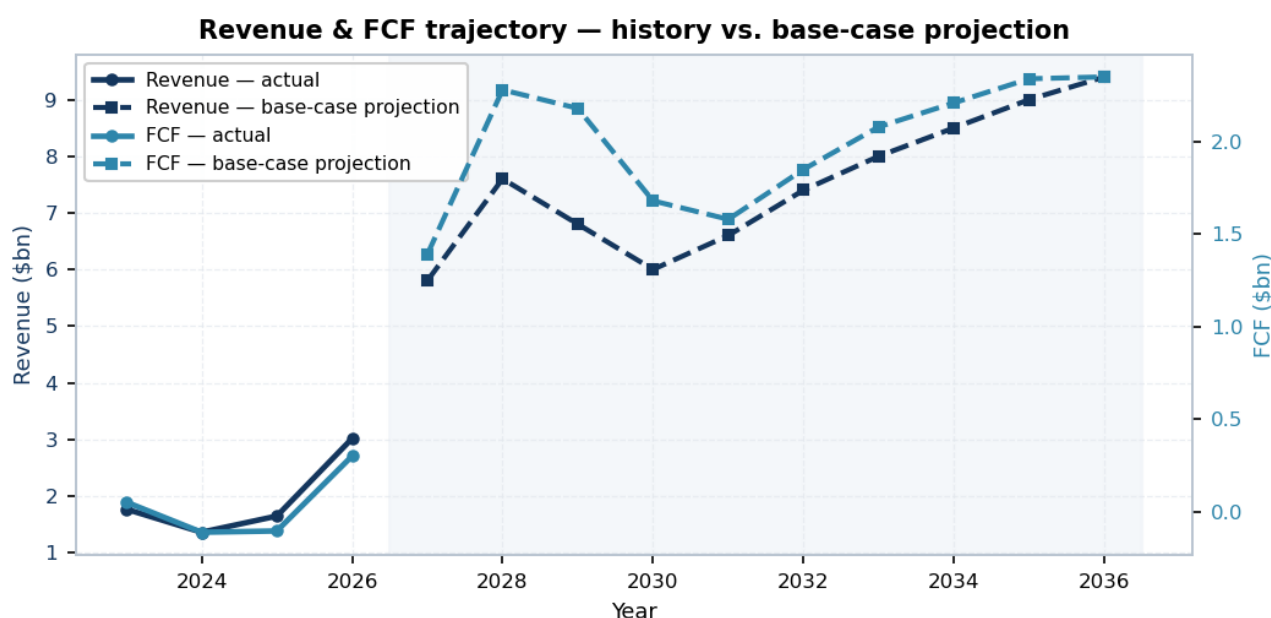
\$ bn	FY2024	FY2025	FY2026
Revenue	1.359	1.645	3.014
Net income	-0.546	0.026	-6.935
Free cash flow	-0.112	-0.105	0.300

Source: company filings via yfinance; fiscal year ends June 30. FY2026 net income includes a ~\$7.2 bn one-time accounting charge — not an operating loss.

Revenue collapsed from \$1.77 billion in FY2023 to \$1.36 billion in FY2024 — the last digestion — then inflected to \$1.65 billion (FY2025) and \$3.01 billion (FY2026): the current ramp in full. Free cash flow followed the cycle: +\$51 million, −\$112 million, −\$105 million, +\$300 million. FY2026 net income of −\$6.9 billion is entirely the \$7.2 billion one-time accounting charge, not an operating loss — the operating business printed record results.

The balance sheet was recapitalized for the cycle: \$2.7 billion of cash and short-term investments, \$109.5 million of net debt, the convert overhang equitized. There is no refinancing wall to force selling into the digestion — which is why the bear case destroys equity value without destroying the company.

Revenue & cash-flow trajectory

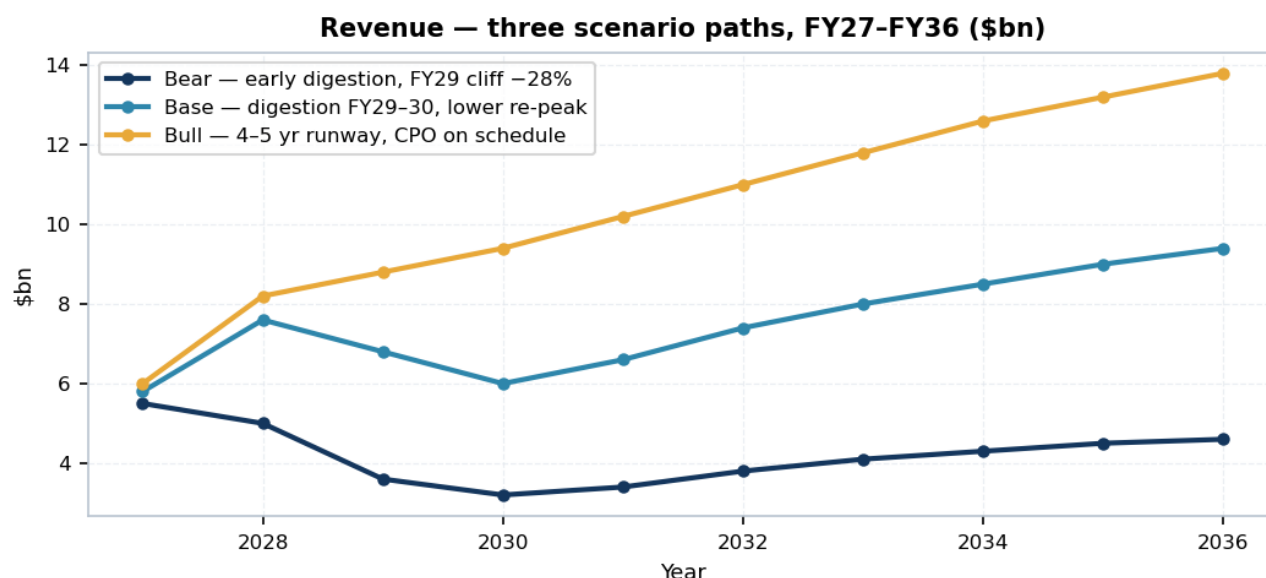


History: company filings via yfinance; fiscal year ends June 30. Projection: base-case path from this note's scenario DCF — hypergrowth FY27–28, full digestion FY29–30, reacceleration to a lower peak.

4 Moat & Competition

- **A near-monopoly in high-speed EMLs — for this window.** 100G/200G-per-lane EML leadership plus deep indium-phosphide process know-how and entrenched Tier-1 hyperscaler qualification command pricing power during the ramp.
- **The moat is narrow and cycle-dependent.** Real advantages during the ramp; the threats arrive on schedule every cycle: Coherent in lasers and transceivers, Innolight and Zhongji Innolight in modules competing aggressively on price.
- **Silicon photonics is the structural threat.** The industry expects silicon photonics to dominate 1.6T over time as volumes scale and integration deepens. Early 1.6T is EML's window; windows close.
- **Dual-sourcing is not a risk to be modeled — it is the base case of every prior cycle.** Hyperscalers systematically second-source at volume; EML price resets are a when, not an if.

Revenue — three scenario paths, FY27–FY36 (\$bn)



5 Valuation — Hypergrowth-regime 10-year scenario FCFF DCF, Fair Value \$255

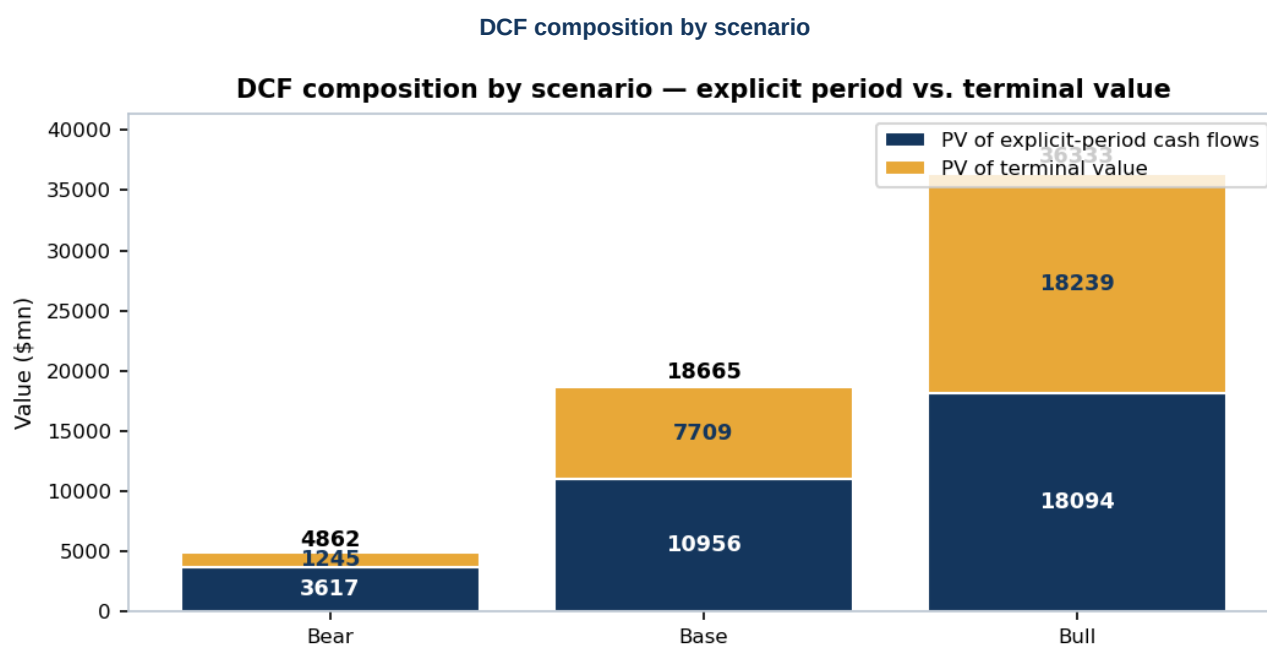
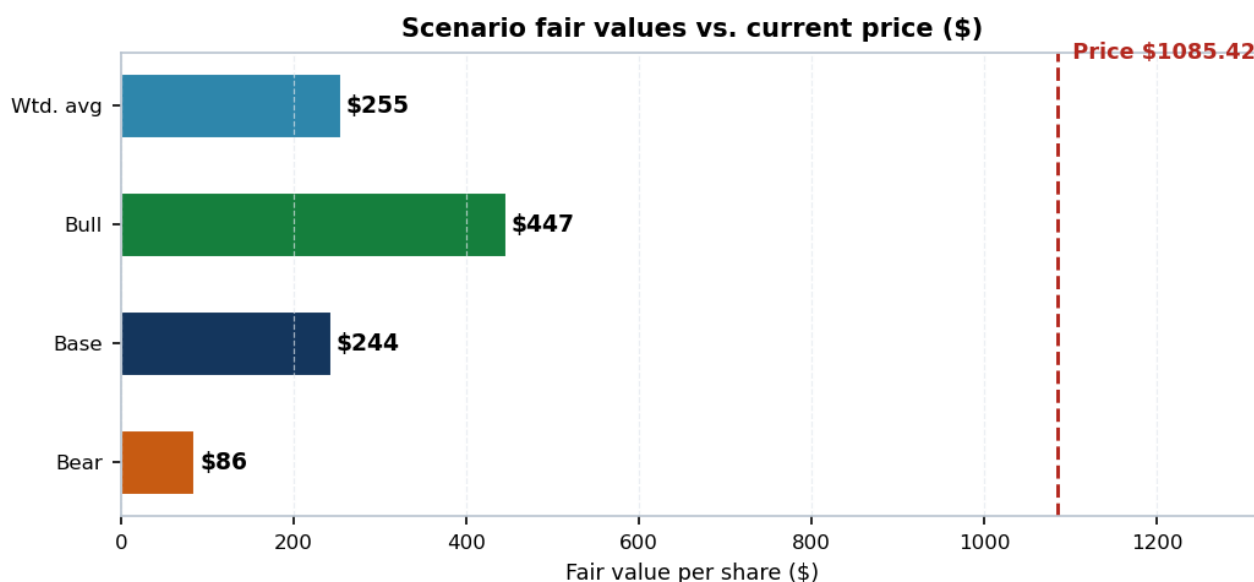
A 10-year scenario free-cash-flow DCF (FY2027–FY2036; fiscal year ends June), weights bear 25% / base 50% / bull 25%. The company qualifies for hypergrowth-regime treatment on verifiable evidence — extended allocation (pump lasers sold out, shipments capped below demand), customer capacity commitments (NVIDIA's ~\$2 billion, long-term scale-across agreements), and named hyperscaler capex driving the 800G-to-1.6T transition — so years 1–3 run at or near the demand evidence with no mechanical haircut. All skepticism is loaded into duration and fade: explicit supercycle-length assumptions per scenario, post-cycle margin compression, and terminal value on through-cycle FCF margins (never peak).

Discounts: base 12% (cyclical optical = speculative tier), bear 14.5% (base + 250bp), bull 10.5% (base – 150bp); terminal growth 1.0% / 2.0% / 2.5%. Equity = firm EV plus \$2.588 billion of net cash, over 87 million fully diluted shares. Terminal value is ≤50% of EV in every scenario (no haircut required).

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Digestion hits early FY28 (double-ordered 800G/EMLs); FY29 cliff –28% revenue, book-to-bill collapse, EML price reset on dual-sourcing; through-cycle FCF margins 14%	+4.3%	14%	14.5% / 1.0%	26%	\$86.00
Base	Hypergrowth FY27–28 per demand visibility; full down-cycle FY29–30 (–11%, –12%); reacceleration to a lower peak; through-cycle FCF margins 25%	+12.1%	25%	12.0% / 2.0%	41%	\$244.00
Bull	4–5-year runway; CPO ships on schedule with a second hyperscaler win; EML holds the 200G/300G lanes vs silicon photonics; through-cycle FCF margins 28%	+16.4%	28%	10.5% / 2.5%	50%	\$447.00
Wtd. avg	Probability-weighted (25/50/25) → \$255.00 target					\$255.00

Scenario FVs from the note's model (bear \$85.60 / base \$244.30 / bull \$447.40); $0.25 \times \$86 + 0.50 \times \$244 + 0.25 \times \$447 = \255.40 , rounded to the \$255 target. PV splits in \$mn derived as TV-share x EV from the scenario DCF.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Inventory digestion (the #1 risk).** Customers stop ordering for 2–4 quarters and work through double-ordered stock. It has happened every prior optical cycle, including 2023.
- **Dual-sourcing and silicon photonics.** Hyperscalers systematically second-source at volume; silicon photonics is expected to take share in 1.6T over time. Either compresses EML pricing faster than modeled.
- **Customer concentration.** A handful of Tier-1 hyperscalers drive the 1.6T transition; one architecture decision reprices the franchise.
- **CPO execution.** Co-packaged optics is the bull-case engine and a 2027 story at best; slips strand the growth narrative the price already owns.

- **Supply-chain whiplash.** Tightness today can invert to glut with one quarter's notice — the two states are adjacent in this industry, not opposite.

What would change our mind

The hypergrowth provision is revoked if book-to-bill prints below 1.0 for two consecutive quarters or lead times normalize (allocation ends): the model reverts to standard treatment and fair value falls further toward ~\$180. The SELL itself is raised only on evidence the cycle is structurally different this time: sustained >45% 200G EML share through FY2029 with stable ASPs (dual-sourcing disproven), or on-schedule CPO shipments with a second hyperscaler win. Absent that, the digestion thesis stands.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.